Oxford Cambridge and RSA Examinations

GCE

Economics

H060/02: Macroeconomics

Advanced Subsidiary GCE

Mark Scheme – Practice Paper (Hard Level)

Levels-of-Response Descriptors

Level	Knowledge & Understanding / Application	Analysis	Evaluation
Strong	Precision in the use of the terms in the question and applied in a focused way to the context of the question.	An explanation of causes and consequences, fully developing the links in the chain of argument.	A conclusion is drawn weighing up both sides, and reaches a supported judgement.
Good		An explanation of causes and consequences, developing most of the links in the chain of argument.	A conclusion is drawn weighing up both sides, but without reaching a supported judgement.
Reasonable	Awareness of the meaning of the terms in the question and applied to the context of the question.	An explanation of causes and consequences, which omit some key links in the chain of argument.	Some attempt to come to a conclusion, which shows some recognition of the influencing factors.
Limited	Awareness of the meaning of the terms in the question.	Simple statement(s) of cause and consequence.	An unsupported assertion.

Section A: Multiple Choice Answers

Each correct answer is worth 1 mark. Total: 15 marks.

Question	Answer
1	**C**
2	**C**
3	**C**
4	**C**
5	**C**
6	**C**
7	**A**
8	**B**
9	**A**
10	**C**
11	**C**
12	**B**
13	**C**
14	**D**
15	**A**

Rationale for each multiple choice question:

Question 1 Answer: C [1 mark]

A Demand-pull inflation
B Monetary inflation (still demand-side via increased AD)
C Correct: Rising input costs shift AS left → cost-push inflation
D Demand-pull inflation

Question 2 Answer: C [1 mark]

A Indirect tax on goods
B Indirect tax on spending
C Correct: Levied directly on company profits
D Indirect tax on imports

Question 3 Answer: C [1 mark]

A Deflation — opposite outcome
B Monetarists argue real effects are temporary
C Correct: Quantity theory of money — MV = PY
D Nominal GDP rises in line with money supply

Question 4 Answer: C [1 mark]

A Trade in goods (current account)
B Primary income (current account)
C Correct: Capital transfers (e.g. debt forgiveness) appear in the capital account
D Financial account (FDI)

Question 5 Answer: C [1 mark]

A Appreciation would lower import prices
B Surplus does not in itself cause imported inflation
C Correct: Depreciation makes imported essentials more expensive in domestic currency
D That would reduce cost pressure

Question 6 Answer: C [1 mark]

A Average rate at £60 000 income (wrong income)
B Approximate average ignoring tax-free band
C Correct: (£37 500 × 0.20) + (£100 000 × 0.40) + (£50 000 × 0.45) = £7 500 + £40 000 + £22 500 = £70 000; £70 000 / £200 000 = 35.0%
D Top marginal rate (not average)

Question 7 Answer: A [1 mark]

A Correct: Real Y1 = $500bn, real GDP/cap = $10 000; Real Y5 = 600/120×100 = $500bn, real GDP/cap = $8 333; %Δ = (8 333−10 000)/10 000 = −16.7%
B Nominal GDP per capita is identical at both dates
C Sign error
D Nominal change

Question 8 Answer: B [1 mark]

A Demand-driven growth, not stagflation
B Correct: AS shifts left → higher prices AND lower output
C AD shifts right → growth and possibly inflation, not stagflation
D AD shifts right → growth, not stagflation

Question 9 Answer: A [1 mark]

A Correct: $50 000 / 1.25 = £40 000; £40 000 × 0.99 = £39 600
B Without fee
C $50 000 × 0.99
D $50 000 × 1.01

Question 10 Answer: C [1 mark]

A Higher % at higher incomes
B Lower % at higher incomes
C Correct: Definition of a proportional (flat) tax
D Levied on spending, not income

Question 11 Answer: C [1 mark]

A Treats sum of withdrawals = 1
B Used MPS only
C Correct: k = 1/(MPS+MPT+MPM) = 1/0.5 = 2.0
D Used 1/MPS

Question 12 Answer: B [1 mark]

A Buying (not selling) bonds increases money supply
B Correct: Selling bonds withdraws money from the economy and pushes rates up
C Inconsistent
D Open market operations always affect both

Question 13 Answer: C [1 mark]

A Often demand-side in effect (boost to consumption)
B Monetary (demand-side)
C Correct: Skills training raises productivity and LRAS
D Demand-side (boost to consumption)

Question 14 Answer: D [1 mark]

A Nominal % change
B Wrong base (Y1 vs Y3 wage)

C Approximate increase ignoring inflation
D Correct: Real income Y3 = £20 000 / 114.5 × 100 = £17 467; %Δ from £18 000 ≈ −2.96%

Question 15 Answer: A [1 mark]

A Correct: Components must sum to zero → CA + KA + FA + NEO = 0 → KA = −(−70 000 + 62 000 + 12 000) = −£4 000m
B Sign error
C Ignored NEO
D Sign error

Section B: Mark Scheme

Case study: Argentina's Economic Crisis

16 (a) (i)   [2 marks]

Question: Using Fig. 1, explain the change in the rate of inflation in Argentina between 2017 and 2023.

Indicative content:

• 1 mark for stating that inflation has accelerated sharply / risen substantially.

• 1 mark for accurate quantitative reference (e.g. rose from approx. 24.8% in 2017 to 133.5% in 2023 — a more than five-fold increase).

Mark allocation: AO2 × 2. Quantitative skills rewarded.

16 (a) (ii)   [1 marks]

Question: Tax revenue covers only around 75% of government spending (lines 22–24). State why this is likely to be a cause for concern for the Argentine government.

Indicative content (1 mark):

• Tax revenue is insufficient to fund spending, creating a fiscal deficit; the gap has to be financed by money printing (inflationary) or borrowing (adding to debt and risk of default).

Mark allocation: AO1 × 1.

16 (b)   [2 marks]

Question: Using Fig. 2, explain what happened to the value of the Argentine peso against the US dollar between 2019 and 2023.

Indicative content:

• 1 mark for identifying a large depreciation of the peso (or large rise in the pesos-per-dollar rate).

• 1 mark for quantitative reference (peso moved from approx. 48 per dollar in 2019 to approx. 360 per dollar in 2023, a depreciation of around 87% in dollar value).

Mark allocation: AO1 × 1, AO2 × 1. Quantitative skills rewarded.

16 (c)   [4 marks]

Question: The case study refers to large cuts in public utility subsidies, leading to higher energy and transport prices.
Using a diagram, explain the likely impact of these cuts on inflation and short-run economic growth in Argentina.

Indicative content – up to 4 marks:

Up to 2 marks for a correctly labelled diagram:

• Accurate labelling of axes (Price Level on Y, Real GDP / Real National Output on X) and curves (AD, AS). (1)

• Correct shift identified, with new equilibrium price level and real GDP labelled. (1)

Up to 2 marks for explanation:

• Subsidy cuts raise input/transport costs for firms, shifting AS to the left – cost-push inflation, with higher prices and lower real output. (1)

• Higher prices for households reduce real incomes, which may reduce consumption and AD further – compounding the fall in real GDP. (1)

Diagram must have correct macro axis labels to be awarded the diagram marks. Accept a PPF shifting inwards / outwards as an alternative diagram where appropriate.

Mark allocation: AO1 × 2, AO2 × 2.

16 (d) [4 marks]

Question: Using information from the case study, explain possible reasons why the Argentine peso has lost more than 95% of its value against the US dollar since 2017.

Indicative content – up to 4 marks:

Up to 2 marks for analytical reasons:

- Fall in demand for the currency (e.g. fewer exports, less FDI). (1)
- Increase in supply of the currency (e.g. more imports, capital outflows, central bank intervention selling reserves). (1)

Up to 2 marks for evidence from the case study:

- Very high domestic inflation reduces real demand for pesos. (1)
- Money printing to fund the fiscal deficit increases peso supply. (1)
- Capital flight – Argentines convert pesos into dollars; low reserves limit defence of the currency.

Allow up to 2 marks for a correct diagram showing decrease in demand and/or increase in supply of the currency on the forex market.

Mark allocation: AO1 × 2, AO2 × 2.

16 (e) [2 marks]

Question: Explain the difference between unemployment and informal employment.

Indicative content – up to 2 marks:

- Unemployment is when a person is willing and able to work but does not have a job (1).
- Informal employment refers to workers who do have paid work but operate outside the formal regulatory system, without legal protection, contracts, social security or full taxation (1).

One mark for a definition of either term; two marks for a clear distinction.

Mark allocation: AO1 × 2.

16 (f)* [10 marks]

Question: Evaluate the advantages, to an emerging economy such as Argentina, of accepting financial assistance and conditions from the IMF during an economic crisis.

Levels-marked question – up to 10 marks.

Indicative content – arguments in favour (advantages of IMF financial assistance):

- IMF lending ($44bn programme) provides essential foreign currency at a time when net reserves are below $5bn, helping Argentina meet its external obligations and avoid further default.
- IMF conditions typically require fiscal discipline (reducing the 5.5% of GDP deficit) and monetary tightening, which can help bring 133% inflation down.
- IMF support gives a signal of credibility to international investors, potentially restoring some capital inflows over time.
- Conditions on subsidy cuts and exchange-rate unification can address structural distortions, raising long-run efficiency and LRAS.

Indicative content – evaluation / disadvantages and 'it depends' factors:

- IMF austerity conditions cut government spending and subsidies, raising prices and reducing AD – worsening short-run unemployment and poverty (already 40%).
- Past IMF programmes in Argentina (1990s, 2018) failed to deliver lasting stability, suggesting conditions may not be sufficient or appropriate.

• The new president's plan to dollarise the economy may conflict with IMF conditions and create policy uncertainty.

• IMF loans add to external debt, requiring future repayments in scarce foreign currency.

• Political backlash against IMF austerity may make implementation difficult and risk further capital flight.

Levels-of-response (10 marks):

Level 3 (7–10)	Good–strong analysis: developed, coherent chain of reasoning with relevant diagram(s) where appropriate. Strong evaluation with a supported judgement weighing both sides.
Level 2 (4–6)	Reasonable analysis – correct points but mostly as single links rather than developed chains. Reasonable evaluation, some structure, limited supporting evidence.
Level 1 (1–3)	Limited analysis – simple statements of cause/consequence, little reasoning. Limited or no evaluation, an unsupported assertion.
0	No response worthy of credit.

Mark allocation: AO2 × 1, AO3 × 4, AO4 × 5.

Section C: Mark Scheme (Answer EITHER 17 OR 18 — 20 marks)

Question 17* [20 marks]

Argentina's newly elected president has proposed dollarising the economy — replacing the Argentine peso with the US dollar — and abolishing the central bank. Evaluate, using an appropriate diagram(s), the likely effects of dollarisation on the Argentine government's ability to achieve its macroeconomic objectives.

Indicative content – analysis (advantages / mechanisms):

• Replacing the peso with the US dollar imposes external monetary discipline: Argentina can no longer print money to fund the deficit, breaking the link between fiscal laxity and inflation.

• Inflation expectations would collapse rapidly toward US inflation rates (around 3%), ending the 133% spiral.

• Interest rates would converge toward US rates, lowering borrowing costs and stimulating investment.

• Trade and financial transactions become simpler and more credible; FDI inflows may resume.

Indicative content – evaluation / counter-arguments / 'it depends' factors:

• Argentina loses control of monetary policy entirely: it cannot adjust rates for domestic conditions and must accept US policy decisions, even if inappropriate.

• No lender of last resort – any banking crisis cannot be addressed by central bank emergency lending; risk of bank runs.

• Loss of seigniorage revenue – Argentina forgoes the profit from issuing currency.

• Cannot use exchange rate to adjust to external shocks – any drop in commodity export prices would require painful internal devaluation (wages and prices falling), increasing unemployment.

• Conversion of peso assets and liabilities into dollars at very low reserve levels (<$5bn) is technically very difficult.

Levels-of-response (20 marks):

Level 4 (16–20)	Good knowledge; strong, coherent chain of reasoning; predominantly correct diagram(s) integral to the analysis; strong evaluation with a supported judgement weighing both sides.
Level 3 (11–15)	Good knowledge; correct analysis with developed links; relevant diagram(s) linked to the analysis; good evaluation weighing both sides but without a supported overall judgement.
Level 2 (6–10)	Reasonable knowledge; correct analysis largely as single links rather than chains; diagram(s) may be imperfectly labelled; reasonable evaluation with limited supporting evidence.
Level 1 (1–5)	Limited knowledge; limited or no analysis; diagram(s) absent or incorrectly labelled; limited evaluation – unsupported statements.
0	No response worthy of credit.

Mark allocation: AO1 × 3, AO2 × 4, AO3 × 6, AO4 × 7. Quality of extended response (*) assessed.

Question 18* [20 marks]

Argentina's fiscal deficit reached 5.5% of GDP in 2023, partly funded by money printing. Evaluate, using an appropriate diagram(s), whether persistently large fiscal deficits should be a concern for any government.

Indicative content – analysis (advantages / mechanisms):

• Persistent large deficits raise the national debt and the cost of servicing it, crowding out productive government spending.

• If funded by money printing (as in Argentina), deficits cause inflation – currently 133% – and currency collapse.

• High debt levels may raise risk premia, increasing interest rates for the whole economy and crowding out private investment.

• External investors lose confidence – capital flight and currency depreciation follow.

• Future generations bear the burden through higher taxes or lower government services – intergenerational equity concerns.

Indicative content – evaluation / counter-arguments / 'it depends' factors:

• Deficits can be appropriate during recessions (countercyclical fiscal policy) – the issue is persistent, structural deficits.

• If the deficit funds productive investment (infrastructure, education, R&D), it raises LRAS and may pay for itself over time.

• Deficits as a share of GDP matter more than absolute levels – a growing economy can carry larger debts.

• Advanced economies (US, Japan) sustain large deficits without crisis because they can borrow in their own credible currency – Argentina cannot, hence the problem.

• Context matters: 5.5% of GDP deficit funded by money printing in a country with hyperinflation is very different from 5% in a stable advanced economy.

Levels-of-response (20 marks):

Level 4 (16–20)	Good knowledge; strong, coherent chain of reasoning; predominantly correct diagram(s) integral to the analysis; strong evaluation with a supported judgement weighing both sides.
Level 3 (11–15)	Good knowledge; correct analysis with developed links; relevant diagram(s) linked to the analysis; good evaluation weighing both sides but without a supported overall judgement.
Level 2 (6–10)	Reasonable knowledge; correct analysis largely as single links rather than chains; diagram(s) may be imperfectly labelled; reasonable evaluation with limited supporting evidence.
Level 1 (1–5)	Limited knowledge; limited or no analysis; diagram(s) absent or incorrectly labelled; limited evaluation – unsupported statements.
0	No response worthy of credit.

Mark allocation: AO1 × 3, AO2 × 4, AO3 × 6, AO4 × 7. Quality of extended response (*) assessed.

Assessment Objectives Grid

Question	AO1	AO2	AO3	AO4	Total
1 to 15	7	6	2	—	15
16(a)(i)	—	2	—	—	2
16(a)(ii)	1	—	—	—	1
16(b)	1	1	—	—	2
16(c)	2	2	—	—	4
16(d)	2	2	—	—	4
16(e)	2	—	—	—	2
16(f)	—	1	4	5	10
17 or 18	3	4	6	7	20
Total	**18**	**18**	**12**	**12**	**60**